BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service.

Cases 25-E-0072, 25-G-0073

April 10, 2025

Update Testimony of:

Stephanie Merritt –

Property Tax Panel

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CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
UPDATE TESTIMONY – STEPHANIE J. MERRITT (PROPERTY TAX)

Q. Please state your name.

A. My name is Stephanie J. Merritt.

Q. Have you previously submitted testimony in this proceeding?

A. Yes. I submitted direct testimony as part of Consolidated Edison Company of New York, Inc.'s ("the Company") January 2025 filing.

Q. What is the purpose of your update testimony?

A. The purpose of my testimony is to:

- Update the level of property taxes in the rate year (*i.e.*, 12 months ending December 31, 2026)("RY1") due to the actual New York City ("NYC") fiscal year 2025/2026 tentative assessments received in March 2025;
- Update for changes in the Company's capital forecast;
- Update the NYC property tax rates used to forecast RY1 property taxes;
- Update NYS RPTL Section 626-Credit for the NYC Special Franchise Receipt Taxes;
- Update the Westchester County & Other property tax rate used to forecast RY1 property taxes;
- Update the property tax savings for the Town of Cortlandt School taxes realized through lower property taxes the Company paid in January 2025; and
- Correct my direct testimony for the forecasted NYC Class 4 property tax rate method used to forecast RY1 and

subsequent rate year property taxes.

Q. Have you also updated any of the Exhibits you sponsored with your direct testimony?

A. Yes. I updated Exhibit__(PTP-2 UPD) entitled "Consolidated Edison Company of New York, Inc., Five-Year Average of Property Taxes Paid, Westchester County & Other" to correct an error. The calendar year 2023 for this Exhibit summarized the property taxes the Company paid in the amount of $201.4 million. However, the property taxes the Company paid were $220.9 million.

Q. Does this correction change the five-year escalation rate used to forecast RY1 and subsequent rate year property taxes?

A. No.

Q. Does this correction change your direct testimony?

A. Yes. Starting on page 23 of my direct testimony, I state: "In 2024, the total property taxes paid increased by 18.46% from 2023, which is more than six times the five year average of the property taxes paid." This statement should be corrected to read: "In 2024, the total property taxes paid increased by 7.99% from 2023, which is nearly three times the five-year average of the property taxes paid."

Q. Do you have any other corrections to your direct testimony?

A. Yes. As discussed on pages 13 and 14 of my direct

testimony, I state that I used the same methodology to forecast NYC Class 4 property tax rates as in the Company's prior rate case proceedings, which would apply a five-year average growth rate based on of the most recent NYC Class 4 property tax rates beginning with fiscal year 2019/2020 and ending with fiscal year 2024/2025 to the latest known NYC Class 4 property tax rate.

Q. Is this statement correct?

A. Yes, in part. I applied the same escalation approach to the NYC Class 4 property tax rate as in the Company's prior rate case proceedings. However, I used a different starting point in the current rate case proceedings. In prior rate case proceedings, I applied the five-year average growth rate to the latest known NYC Class 4 property tax rate. However, in the current rate case proceedings, I applied the five-year average growth rate to the five-year average of the most recent NYC Class 4 property tax rates (beginning with fiscal year 2019/2020 and ending with fiscal year 2024/2025) as its starting point. I also used the same approach for the NYC Class 3 starting point in the current rate case proceedings.

Q. Does this correction change the forecasted rate year property taxes, or subsequent rate year property taxes included in the January 2025 filing?

A. No.

Q. Please explain your property tax update.

A. I have revised the rate year forecast of property taxes upward by $2.7 million for electric and downward by $24.8 million for gas. The new projected level of property taxes in RY1 is $2,673.0 million for electric and $590.7 million for gas.

Q. Are you sponsoring an exhibit setting forth the forecasted property taxes by rate year?

A. Yes. I am sponsoring new Exhibit __ (PTP-5) entitled "Consolidated Edison Company of New York, Inc. Forecasted Property Taxes by Rate Year - Update". This Exhibit summarizes the forecasted property taxes for RY1, RY2 (*i.e.*, 12 months ending December 31, 2027), and RY3 (*i.e.*, 12 months ending December 31, 2028) in table one. Table two summarizes the change in RY1 property tax expenses from the initial to the update filing.

Q. Was Exhibit __ (PTP-5) prepared by you or under your direction and supervision?

A. Yes.

Q. Please continue.

A. As explained in my direct testimony, I forecasted the property taxes for RY1 to be $2,670.3 million for electric expense and $615.5 million for gas expense. Of those

amounts, $3,029.3 million is applicable to NYC ($2,491.3 million for electric and $538.0 million for gas) and $256.5 million is applicable to Westchester & Other ($179.0 million for electric and $77.5 million for gas). The decrease in the overall (electric and gas) forecasted property tax expense in the amount of $22.1 million for RY1 is due to the following:

- The update of the actual NYC fiscal year 2025/2026 tentative assessments;
- Changes in the computed incremental assessed values for the subsequent periods based on the updated plant changes forecasted by the Company;
- Updating the NYC property tax rates used to forecast RY1 property taxes;
- Updating NYS RPTL Section 626-Credit for the NYC Special Franchise Receipt Taxes;
- Updating the Westchester County & Other property tax rate used to forecast RY1 property taxes; and
- Updating the property tax savings for the Town of Cortlandt School taxes realized through lower property taxes the Company paid in January 2025.

Q. Please describe the overall decrease in RY1 property taxes due to the update of the actual NYC fiscal year 2025/2026 tentative assessments.

A. The updated RY1 property taxes reflect the actual NYC fiscal year 2025/2026 tentative assessments, which were higher than the forecasted assessments for this same period when compared with the Company's initial forecast for electric and lower for gas. The lower actual NYC tentative assessed values for gas are primarily due to an increase in the gas Economic Obsolescence ("EO") allowance for special franchise property from 8% for fiscal year 2024/2025 to 9% for fiscal year 2025/2026. Other changes between the actual fiscal year 2025/2026 tentative assessments and the forecasted fiscal year assessments are due to other market forces and physical changes.

Q. Please continue.

A. As a result, the NYC RY1 property taxes increased by $20,726 million for electric and decreased by $18,981 million for gas due to the updated fiscal year 2025/2026 actual tentative assessments.

Q. Please describe the decrease in RY1 NYC property taxes due to the change in the Company's capital forecast.

A. The NYC forecasted RY1 property taxes changed due to the computed incremental changes to the assessed values for subsequent periods based on the updated plant changes forecasted by the Company.

Q. Please continue.

A. As a result, the NYC RY1 property taxes increased by $4,493 million for electric and decreased by $3,301 million for gas due to capital forecast changes.

Q. Please describe the decrease in the RY1 property taxes due to the change in the property tax rates applied to forecast RY1 property taxes.

A. The Company modified its approach to forecast rate year and subsequent rate year NYC property taxes in the current rate case proceedings due to significant factors that resulted in a lower NYC Class 3 property tax rate for fiscal year 2024/2025 when compared to fiscal year 2023/2024. Due to the significance of these factors, the Company identified NYC Class 3 property tax rate as an outlier and accordingly modified the traditional approach to forecast NYC property taxes.

Q. Did the Company use this same modified approach for the property tax update?

A. No. Although, the NYC Class 3 property tax rate has still been identified as an outlier, the Company has modified the traditional approach.

Q. Please explain the modification.

A. The traditional approach would compute a five-year average escalation rate based on the most recent NYC property tax rates and apply this rate to the latest known NYC property

tax rate to forecast future year NYC property taxes. However, because the Company identified the NYC Class 3 property tax rate as an outlier, the Company modified the traditional approach to exclude fiscal year 2024/2025. Therefore, for forecasted NYC Class 3 and 4 property tax rates, the Company begins with fiscal year 2023/2024 as the starting point and then applies the five-year average growth rate based on the fiscal years 2018/2019 through 2023/2024 to forecast RY1 property taxes.

Q. Please continue.

A. As a result, the NYC RY1 property taxes decreased by $27,749 million for electric and by $5,658 million for gas due to forecasted NYC property tax rate changes.

Q. Please describe the decrease in RY1 property taxes due to the change in the NYS RPTL Section 626-Credit for the NYC Special Franchise Receipt Taxes.

A. The 626-credit increased based on an updated escalation rate used to forecast the 626-credit. The escalation rate was based on the most recent historical NYC Special Franchise Receipt Taxes paid for the fiscal years beginning 2019/2020 and ending with fiscal year 2024/2025.

Q. Please continue.

A. As a result, the NYC RY1 property taxes decreased by $2.3 million for electric and by $98 thousand for gas due the

NYS RPTL Section 626-Credit for the NYC Special Franchise Receipt Taxes.

Q. Are you sponsoring an exhibit containing the summary of changes and the impact on RY1 NYC property taxes?

A. Yes. I am sponsoring new Exhibit __ (PTP-6) entitled "Consolidated Edison Company of New York, Inc., Summary of Changes in Rate Year 1 Forecasted Property Taxes, New York City." This Exhibit summarizes the changes in the NYC property tax expenses for the reasons discussed above.

Q. Was Exhibit __ (PTP-6) prepared by you or under your direction and supervision?

A. Yes.

Q. Please continue.

A. As I discussed in my direct testimony, this large change in the forecast demonstrates just how volatile the level of property taxes can be and how important a reconciliation of these taxes is for both the Company and our customers. I caution that even at this time, NYC has still not finalized the property tax rates I have used for the starting point of the forecast.

Q. Please describe the decrease in RY1 Westchester County property taxes due to the change in the Company's capital forecast.

A. The Westchester County & Other forecasted RY1 property

taxes changed due to the computed incremental changes to the assessed values for subsequent periods based on the plant changes forecasted by the Company.

Q. Please continue.

A. As a result, the Westchester County & Other RY1 property taxes increased by $152 thousand for electric and decreased by $147 thousand for gas due to capital forecast changes.

Q. Please describe the decrease in RY1 Westchester County property taxes due to the update and correction of the effective property tax rate.

A. The Westchester County & Other forecasted RY1 property taxes changed due to an updated five-year average effective property tax rate (included 2024) and a corrected taxable basis from market value to assessed value. In NYS, property taxes are paid on the assessed value, not the market value.

Q. Please continue.

A. As a result, the Westchester County & Other RY1 property taxes increased by $7.4 million for electric and by $3.4 million for gas due to the update and correction of the effective property tax rate.

Q. Please describe the decrease in RY1 property taxes due the property tax savings for the Town of Cortlandt.

A. The Westchester County & Other forecasted rate year property taxes decreased due to the property tax savings

the Company realized through lower property taxes paid in January 2025, related to the settlement agreement between the Company and the Town of Cortlandt for the poles and wires on private property.

Q. Please continue.

A. As a result, the Westchester County & Other RY1 property taxes decreased by $57 thousand due to the property tax savings in the Town of Cortlandt.

Q. Are you sponsoring an exhibit containing the summary of changes and the impact on RY1 Westchester County & Other property taxes?

A. Yes. I am sponsoring new Exhibit __ (PTP-7) entitled "Consolidated Edison Company of New York, Inc., Summary of Changes in Rate Year 1 Forecasted Property Taxes, Westchester County & Other." This Exhibit summarizes the changes in the Westchester County & Other property tax expenses for the reasons discussed above.

Q. Was Exhibit __ (PTP-7) prepared by you or under your direction and supervision?

A. Yes.

Q. Does this conclude your testimony?

A. Yes, it does.